

Employment and Skill Investment's Responses to Payroll Tax Reductions 30 years of disincentives ?

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Ex post evaluation of the main labor policy in France: employers tax cut targeted towards low wage jobs

- ▶ In 1993: France faced high unemployment concentrated on young and less skilled workers.
 - ▶ Attributed to high employers payroll taxes (above 40 %) and therefore high labor costs especially at the minimum wage.
- ▶ Successive policies reduced further the labor costs at the minimum wage, by about 35% (less than 7% left).
- ▶ Became the main compass of the French labor markets: lower labor costs.
- ▶ Never questioned until a policy report asked by Elisabeth Borne - French prime Minister in 2023.

Payroll taxes as multiples of the minimum wage 1995-2024

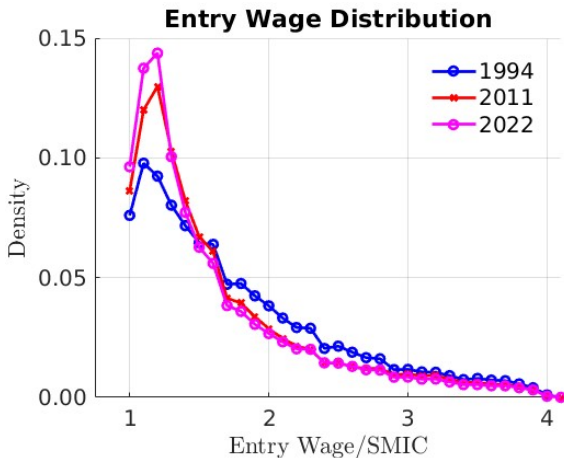
Figure 1.7 – Evolution of Employer Contribution Rates Based on Salary Level as a Fraction of the Legal Minimum Wage (1993–2024)



Note: In January 2023, the employer contribution rate at the legal minimum wage level was 6.9%. The rates shown apply to companies with 50 or more employees located in Paris.

Source: DARES.

But also wage compression forces - more low skill jobs, yes, but in relative terms, fewer intermediate jobs

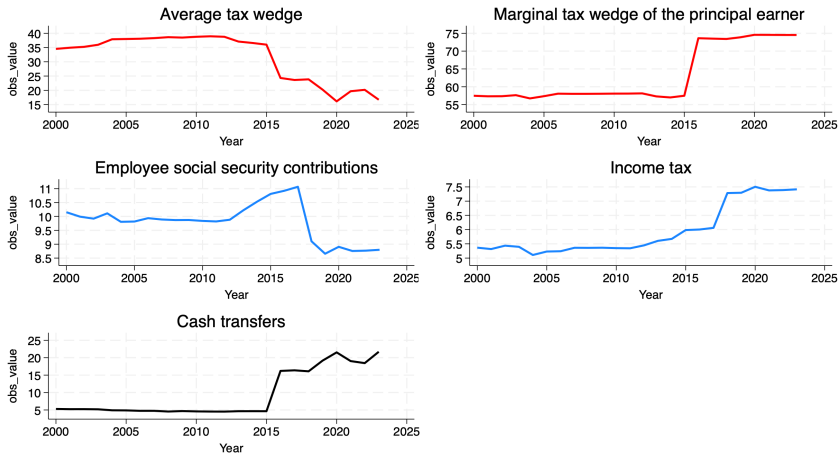


High marginal tax rates (employers)

- ▶ Slope of payroll contributions / wage below 1.6 Smic is 0.93 (e.g. 1 extra euro of salary costs 1.93 to the firm).
Corresponding marginal tax rate for employers is 48.2%.
 - ▶ NB: For small slopes, this is also the implicit marginal tax rate between labor cost and gross wage.
- ▶ 1993: the implicit marginal tax rate was already 30.6%.
- ▶ Therefore, over the period 1993-2025, the max payroll tax rate increased by +18%.

High marginal tax rates (employees and households)

Single Earner Family (67% of average wage), Two Children



Source: OECD

Bottom line: Trade-off between average net tax/transfer rates and implicit marginal tax rates

- ▶ Employment-wise: policy was a success. Unemployment back to 7-8% (from 10-12%) especially for low skill workers.
- ▶ However: trade-offs between low skill employment on the one hand, and : i) incentives; ii) jobs composition; iii) productivity gains.

- ▶ Here we propose a methodology to assess the tradeoffs.
- ▶ Still preliminary but give a sense of the order of magnitudes.

Social Discouragement Factor

Steep slopes discourage workers to progress:

→ Anecdotes of rejection of promotions

→ Marginal tax rates around 60 to 70% (including the rest of transfers/taxes)

We propose a set up where:

- ▶ The net wage reflects worker efforts through the marginal product of $f'_e(e|\cdot)$ with a multiplicative coefficient:

$$\underbrace{\alpha \frac{1 - \tau^w}{1 + \tau^e}}_{\text{Proportion kept}} \times \underbrace{(f(e|\cdot) - b^e)}_{\text{Net product of the match}}$$

where α is the worker's bargaining power, τ^w, τ^e are the employees and employers' marginal tax rates respectively.

Introduction: Social Discouragement Factor

Steep slopes discourage workers to progress:

- ▶ $\alpha \frac{1-\tau^w}{1+\tau^e} = \alpha \times \frac{0.4}{2}$, e.g. 10% with equal bargaining power.
- ▶ Interior solutions: optimal effort depends on this share of skills improvement.
- ▶ **For persons *stuck* at the min. wage:** local SDF is 0 (no wage response).
 - ▶ Effort only comes from unemployment risk
 - ▶ or to get out of *Smic*, if not too difficult.

Related literature: Payroll Tax Cuts and Employment

Key Findings from France and abroad

- ▶ Strong consensus on negative labor demand elasticity at the minimum wage: between **-1.5 and -1.0**.
- ▶ Early 1990s–2010s: Tax cuts created/preserved **hundreds of thousands** of low-wage jobs Salanié (2000); Kramarz and Philippon (2001).
- ▶ **Sweden (Saez et al. 2019, 2021)**: Period 2008-15+, 2pp increase in youth employment with 30% tax cut; low elasticity (~ -0.2) and persistent.
- ▶ **French CICE evaluations**: mixed results above median wage.
- ▶ Other studies in Finland, Hungary (Korkeamäki and Uusitalo 2009, Benzarti and Harju 2021, Biro et al. 2022)
 - ▶ Weak effects above $2.5 \times$ minimum wage Carbonnier et al. (2017).
 - ▶ Up to **118,000 jobs created** Gilles et al. (2018).
- ▶ In general: positive employment effects strong for low skill workers.

The disincentives in the literature

Key Findings from France and abroad

Progressivity and Productivity

- ▶ Chéron et al. (2008): Payroll tax cuts reduce **firm-side investment in skills**.
 - ▶ Optimal cuts are above min. wage improves human capital & output (+0.4%).
 - ▶ Trade-off: **job quantity vs. quality**
- ▶ Breda et al. 2017, 2023: more active low skill employees but also more low productivity firms.
- ▶ Last, complex articulation with **minimum wage and family benefits** (Albertini, Poirier and Terriau 2025)
- ▶ Role of employees' incentives treated in the labor/Public Policy literature on France (Europe).

The disincentives in the literature

Theoretical and Empirical Insights (Mostly US)

- ▶ Dupor et al. (1996): Tax progressivity **reduces returns to education**; human capital $\sim 5\text{--}20\%$ lower.
- ▶ Heckman et al. (1998, 1999): Ambiguous tax effects; general equilibrium attenuates disincentives.
- ▶ Taber (2002): Skill gains for high-skilled workers ($+30\%$), losses for low-skilled (-30%) with lower progressivity.

Related literature: Quantifying Behavioral Responses

- ▶ Elasticity of skill investment to net-of-tax income (ψ):
 - ▶ Heathcote et al. (2017): $\psi = 0.65$ (convex disutility)
 - ▶ Guvenen et al. (2014): $\psi \approx 0.8$; explains up to **all wage inequality differences**.

Summary of the model: Shimer-Smith setup

- ▶ **Heterogeneity:** Worker's heterogeneity $\mathbf{x}$, firm's heterogeneity $\mathbf{y}$, productivity $\mathbf{f}(\mathbf{x} + \mathbf{e}, \mathbf{y})$
- ▶ **Framework:** Random search and matching, total matches $M_t = M(U_t, V_t)$ split into different segments and a common labor market tightness $\theta_t = V_t/U_t$, $U_t = \sum_x u_t(x)$, $V_t = \sum_y v_t(y)$.
- ▶ **Key Extensions:**
 - ▶ Minimum wage rules out low-wage matches.
 - ▶ Piecewise employer payroll taxes and worker transfers/subsidies.
 - ▶ Endogenous, firm-specific training effort $\mathbf{e}$ by workers (costly, non-portable).

Social discouragement factor

The net of transfers/taxes wage is decreasing in τ^w and writes as :

$$w + T^w(w) = \alpha \frac{1 - \tau^w}{1 + \tau^e} \underbrace{\left(f(x', y) - b^e \right)}_{\text{Match Specific}} + (1 - \alpha) \underbrace{\left((1 - \beta) W_0(x) \right)}_{\text{Employee Specific}} + \alpha b^w \quad (1)$$

Proposition 1: Holdup and progressivity. *The net wage of workers reflects its effort through $f'_x(x + e, y)$ with a multiplicative coefficient $\alpha \frac{1 - \tau^w}{1 + \tau^e}$ that is increasing with the bargaining power of workers α and decreasing in the marginal tax rates on employers and employees.*

Social discouragement factor $1 - \alpha \frac{1 - \tau^w}{1 + \tau^e}$

Calibration and taxes 1/n

- ▶ A large part of the effort is matching the parameters of the French socio-fiscal model into our simulated economy.
- ▶ Double heterogeneity in skills and firm's productivity leaves little space for more heterogeneity. Assumptions needed
 - ▶ No discrimination in the labor market, so a representative family type is built (details next)
 - ▶ Individuals only have vague ideas of the kinks in tax rates.

Calibration and taxes 2/n

- ▶ $T^e(w)$ (employer tax profiles and rebates since 1993): Bozio and Wasmer (2024). Independent of family situation.
- ▶ $T^w(w)$ (employee taxes and transfers): different family types. Simulated between 2006 and 2024 using an API (Open Fisca & TaxIPP).
- ▶ For employee taxes/transfers in 1993-1994, we rely on an early analysis of Bourguignon (2001)

Net transfers by household type: 1 adult, 0, 1 or 2 kids, 2 adults with 0,1/2,1,2,4 times the minimum wage

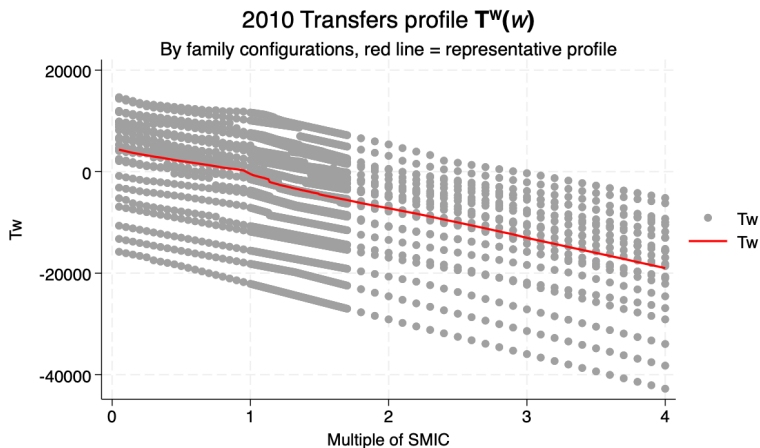


Figure: Simulated Employee' Tax/Transfer profiles, 2010

Left: Net transfers for 1 adult household, 0,1,2,3 kids
 Right: Corresponding implicit marginal tax rate τ^w

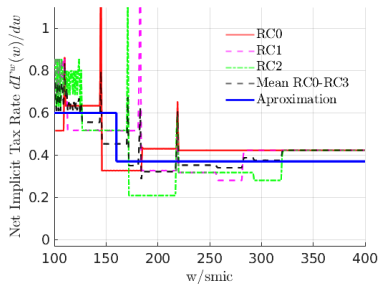
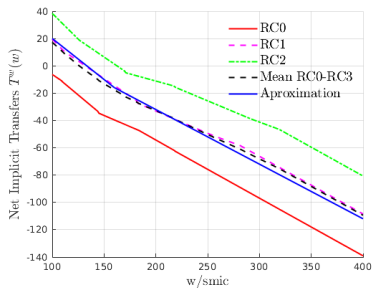


Figure: Simulated Employee' Tax/Transfer, 2024

Calibration and taxes 3/n

- ▶ Profiles $T^w(w)$ for 24 family types are aggregated assuming a 'representative worker' of type x as perceived by the firm. Weights are calculated using the French labor force survey in 2005, 2015 and 2024 and linearly interpolated.
- ▶ In addition, there are many kinks in the marginal tax rates. Do individuals perceive them and adjust their behavior and labor supply?
 - ▶ Limited evidence of "bunching" from different works (Bozio et alii, IPP).
 - ▶ Our working assumption is that the relevant margins are over a time horizon of 4 to 5 years, over which wages and family composition evolve quite a lot.
 - ▶ We apply a smoothing strategy: an individual considers the average $T^{w'}(w)$ for an interval $(-5\%, +10\%)$ (with robustness checks to other strategies).

Exercise 1: Focus on 30 years of $T^e(w)$ reforms 1993-2022

- ▶ Simulate a large model (up to 400 types of 'matches', effort, wage, given the tax regime).
- ▶ Calibrate a 1993 economy (easier since fewer of these kinks): high unemployment (13%) and even 22% for low skills and 4% for high skills, linear tax schedules, high average tax rates, 'relatively low' marginal tax rates)
- ▶ Counterfactuals; 2022 tax profiles.
- ▶ NB: thought experiments, not recalibrations, so no particular assessment of the entire policy changes at this stage, just an idea of the order of magnitudes.
- ▶ There to understand the qualitative dynamics.

Exercise 2: More precise assessment. Focus on the mix of reforms $T^e(w)$, $T^w(w)$ 2010-2022

- ▶ Calibrate an 2010 economy for which we have a better knowledge of $T^w(w)$: lower unemployment than 1993, already some reforms of $T^e(w)$ and already some higher marginal implicit tax rates
- ▶ Look at the effect of varying the employee taxes and the employer taxes and bring them to the 2022 values.
- ▶ Attempt to backcast towards 1993 too.

Exercise 3 (for the future): Calibrate 2022 and compare various policy reforms debated since 2024

- ▶ We want to increase labor taxes at the minimum wage by 4% to reduce it between 1.2 to 1.9% of the minimum wage.
- ▶ Scared the administration and some employers' unions (security and cleaning service) so the reform was less ambitious.

First Exercise : Calibrate 1993 and look forward

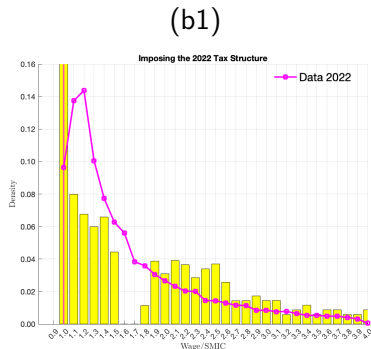
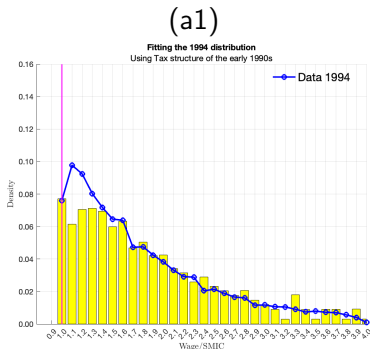
Moment	1993		2022	Δ
	Model	Data	T^w, T^e	
Share of People around Smic	7.71	7.59	21.2	+13.5pp.
Average Effort	0.230	-	0.189	-18%
Average Wage Growth (%)	4.80	4.12	3.86	-0.94pp.
Unemployment rate (%)	10.74	10.00	10.33	-0.41pp.

Wage distribution				
Percentile 50/10	1.7	1.5	1.4	-0.3
Percentile 90/10	3.9	3.1	2.9	-1
Labor costs distribution				
Percentile 50/10	1.6	1.5	2.0	+0.4
Percentile 90/10	2.8	3.1	4.2	+1.4

- ▶ More jobs at the minimum wage
- ▶ Less effort, lower wage increase due to lower effort
- ▶ Mitigation of employment gains
- ▶ Wage compression
- ▶ Labor cost differences between low and high skill increase.

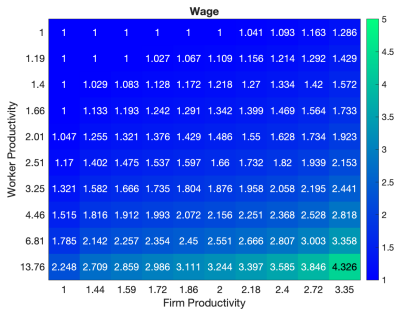
Outcomes: 1993-1994 vs. 2022: polarization, mid-wages shrinks (here, extreme case: disappear!)

Figure: Distributions

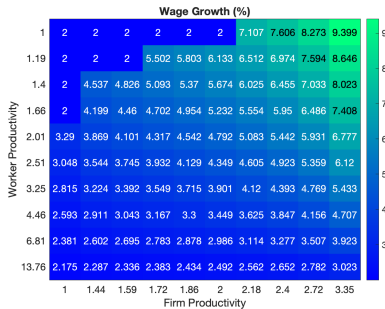


Outcomes: the role of x , y , e in 1993-94

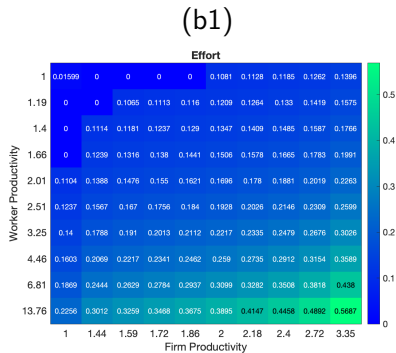
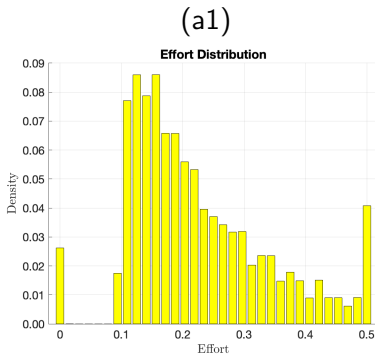
(a2)



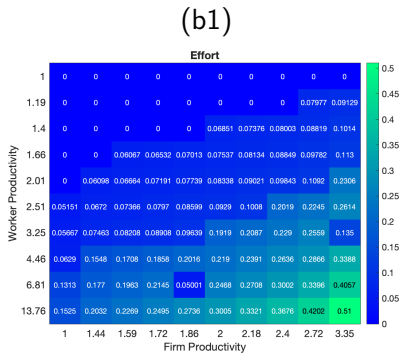
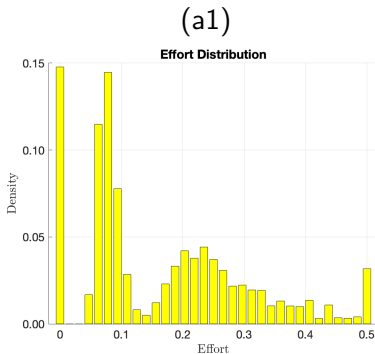
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Outcomes: the role of x , y , e in 1993-94

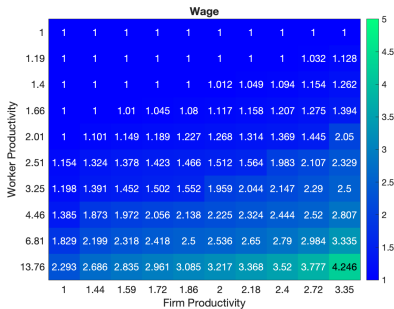


Outcomes: the role of x , y , e in 2022

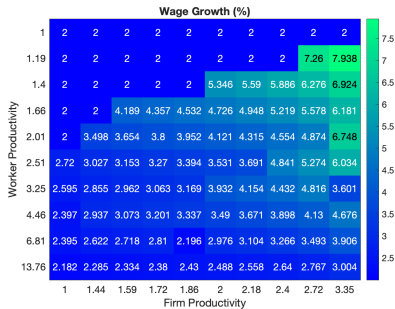


Outcomes: the role of x , y , e in 2022

(a2)



(b2)



Exercise 2: calibrate 2010 and look at the respective roles of T^e , T^w

Thanks to the microsimulation of different transfer tax profiles, we have consistent time series for 2010-2022

We are extending the time-series (2005-09 and 2022-25)

NEW Model fit and key moments across scenarios 11-17

	Convergence	Unemp	Share Smic 1.1	effort	Duration U	Elasticity x=1	Elasticity x=2	Elasticity xmax	z/w at x=1	z/w at median
scenario 11: all 2010	OK	8.90	7.09	0.253	6.61	-0.99	-0.87	becomes >0	0.92	0.84
scenario 12: Te 2022	OK	9.29	4.22	0.268	6.71	-0.72	-0.64	becomes >0	0.91	0.84
scenario 13: Tw 2022	OK	10.38	25.59	0.221	6.59	-0.17	-0.09	becomes >0	0.92	0.84
scenario 14: Te and Tw 2022	non OK	10.33	22.30	0.234	6.51	-0.14	-0.09	becomes >0	0.92	0.84
scenario 15: Te 1993	OK	9.62	6.43	0.252	6.98	-0.62	-0.57	becomes >0	0.92	0.84
scenario 16: Tw 1993	OK	10.21	6.19	0.208	6.76	-0.44	-0.35	becomes >0	0.92	0.84
scenario 17: Te and Tw 1993	OK	10.12	6.27	0.221	6.63	-0.35	-0.30	becomes >0	0.92	0.84
	Message									
zc=0.75	From 1993 to 2010	Both Te and Tw helped		CHECK HOW AVERAGE EFFORT IS CALC						
bnp=0.15	From 1993 to 2010	but change in Tw rose effort, not Te								
	From 2010 to 2022	Tw very counterproductive on effort, unempl and share smic								
	From 2010 to 2022	Te less so, and a puzzle to understand : larger effort, less taxes in the bottom xs yet more unemployment - possibly due to higher taxes for higher x's								

Table: OLD Model fit and key moments across scenarios 11–17

Moment	Calib. targets	Scenario						
		11	12	13	14	15	16	17
Scenario description: Te		Te 2010	Te 2022	Te 2010	Te 2022	Te 1993	Te 1993	Te 2010
Scenario description: Tw		Tw 2010	Tw 2010	Tw 2022	Tw 2022	Tw 2010	Tw 1993	Tw 1993
Unemployment rate (%)	9.3	9.42	9.79	9.94	9.8	9.55	9.82	9.83
Share in SMIC band [1,1.1] (%)	9.81	9.14	5.28	21.08	14.96	9.08	8.46	9.64
Average effort		0.27	0.28	0.22	0.24	0.25	0.21	0.23
Average wage growth (%)		5.56	5.84	4.87	5.19	5.19	4.77	5.19
Wage p50/p10	1.49	1.60	1.70	1.50	1.60	1.60	1.50	1.50
Wage p90/p50	1.96	1.94	1.83	2.00	1.88	1.94	2.07	2.00
Super-gross wage p50/p10		1.85	2.00	2.20	2.20	1.60	1.47	1.84
Super-gross wage p90/p50		1.71	1.71	1.87	1.87	1.71	1.87	1.87
Employment elasticity at SMIC	-0.6	-0.56	-0.10	-0.25	-0.06	-0.62	-0.33	-0.33
Within/across firm variance ratio	4.0	5.28	4.59	5.53	4.67	5.44	6.15	5.89
<i>Goodness of fit</i>								
$\ f(x)\ ^2$ (final)		4.115e-17	8.472e-19	9.141e-14	2.084e-20	3.633e-12	1.304e-17	3.338e-12
Mean sq. FOC error (Free Entry)		2.417e-10	4.942e-11	3.505e-07	1.500e-12	3.082e-05	6.060e-11	1.390e-05

Notes: "Mean sq. FOC error" is the average of squared entries reported under Check Free Entry (including the printed scaling factor when present), i.e. $\frac{1}{20} \sum_{i=1}^{20} \text{FOC}_i^2$. The within/across ratio is Within Firm Variance divided by Across Firm Variance. Main moments are rounded up to two decimals.

Caveats and objectives

- ▶ Build a new tool to assess the GE effects of policies, focusing on skill investments by workers and the consequences of high implicit marginal tax rates.
- ▶ Many more features to incorporate.
- ▶ Difficulty is not a reason to ignore the disincentives of the policy.

Thank you

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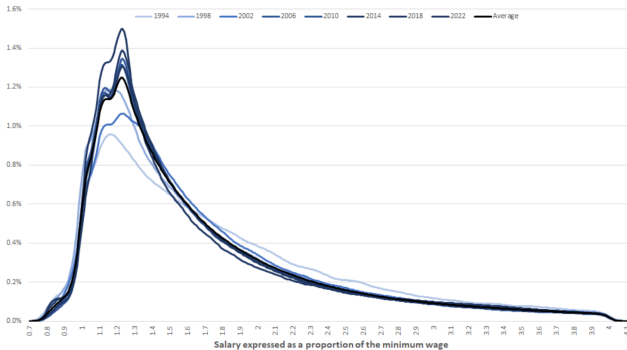
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APPENDIX France's Compression of the Wage Distribution

Graph 3.6 – Distribution of hourly gross wages expressed in multiples of the Smic between 1994 and 2022



Reading: In 2022, 1.5% of private sector employees aged 18 to 64 earn an hourly gross wage between 1.22 and 1.23 times the Smic. Scope: Main job (i.e., the highest-paying position in terms of gross wages) of employees (counted as individuals) aged 18 to 64 working in the private sector, excluding domestic employers, metropolitan France; hourly gross wages below 4 times the Smic.

Source : Insee, Bases et Panels Tous Salariés ; calculs Dares.

Firm Values:

Value of a filled job:

$$\Pi_1(x, y, w) = \underbrace{f(x + e^*(x, y), y) - [w + T^e(w)]}_{\text{Net Output}} + \beta \left(\underbrace{\delta \Pi_0(y)}_{\text{Match Destroyed}} + \underbrace{(1 - \delta) \Pi_1(x, y, w)}_{\text{Match Survives}} \right)$$

Value of a vacancy:

$$\Pi_0(y) = -c(y) + \underbrace{\beta \left(1 - \frac{M}{V} \right) \Pi_0(y)}_{\text{No Match}} + \beta \frac{M}{V} \sum_x \frac{u(x)}{U} \left[\underbrace{\mathcal{A}(x', y) \Pi_1(x', y, w)}_{\text{Job Accepted}} + \underbrace{(1 - \mathcal{A}(x', y)) \Pi_0(y)}_{\text{Job Rejected}} \right]$$

Free Entry:

$$\Pi_0(y) = 0 \quad \forall y$$

Worker Values and Effort (away from the min wage bind)

Employment value:

$$W_1(x, y, w) = \underbrace{w + T^w(w)}_{\text{Net Income}} + \beta \left(\underbrace{\delta W_0(x)}_{\text{Match Destroyed}} + \underbrace{(1 - \delta) W_1(x, y, w)}_{\text{Match Destroyed}} \right)$$

Unemployment value: match at prob. p , accept if $\mathcal{A}(x', y) = 1$.

$$\begin{aligned} W_0(x) = & \underbrace{z(x) + T^w(z(x))}_{\text{Unemployment Benefits}} + \beta (1 - p) W_0(x) + \underbrace{\beta p \sum_y \left\{ \frac{v(y)}{V} [1 - \mathcal{A}(x', y)] \right\}}_{\text{Match Rejected}} \\ & + \underbrace{\beta p \sum_y \left\{ \frac{v(y)}{V} \mathcal{A}_t(x', y) \left(W_1(x, y, w) - C(e^*(x, y)) \right) \right\}}_{\text{Employed}} \end{aligned}$$

Effort: worker chooses e to raise $x' = x + e$, (see next slide)

Endogenous Population Dynamics, Employment Flows

Employment:

$$H(x, y) = \underbrace{M\mathcal{A}(x + e, y) \frac{v(y)}{V} \frac{u(x)}{U}}_{\text{From unemployment to employment}} + \underbrace{(1 - \delta)(x, y)}_{\text{From employment to unemployment}}$$

Unemployment :

$$u(x) = \underbrace{p \sum_y \left(1 - \mathcal{A}(x + e, y)\right) \frac{v(y)}{V} u(x)}_{\text{Remained unemployed as wage contract not accepted}} + \underbrace{(1 - p)u(x)}_{\text{Did not match}} + \underbrace{(1 - \delta) \sum_y H(x, y)}_{\text{From employment to unemployment}}$$

Distribution of Workers:

$$u_x + \int_y H(x, y) dy = g(x)$$

$$\tau^e, T^e, \tau^w, T^w$$



Figure: Employee' Tax/Transfer

$$\tau^e, T^e, \tau^w, T^w$$

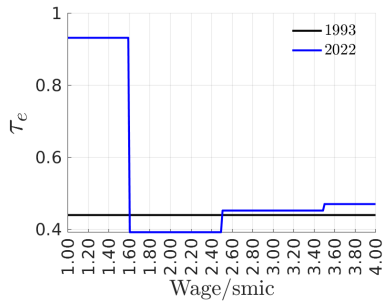
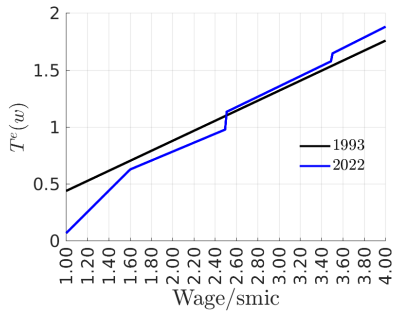
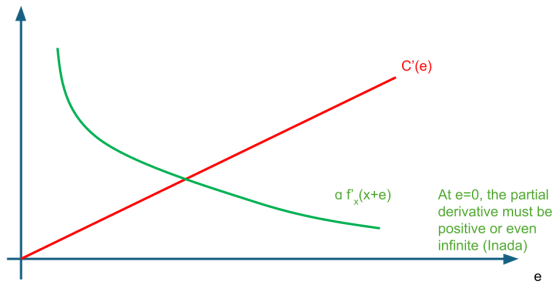


Figure: Employer Tax

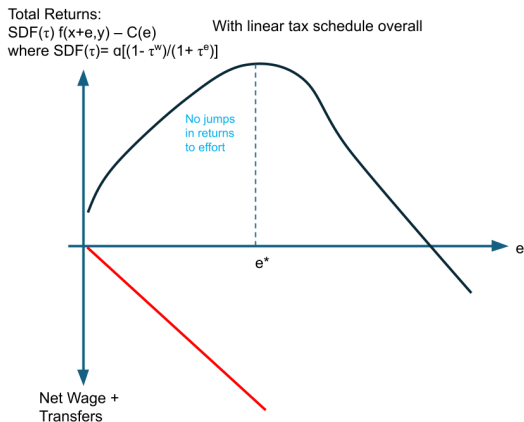
Discouragement factor in action:

Marginal costs and
Marginal Benefit

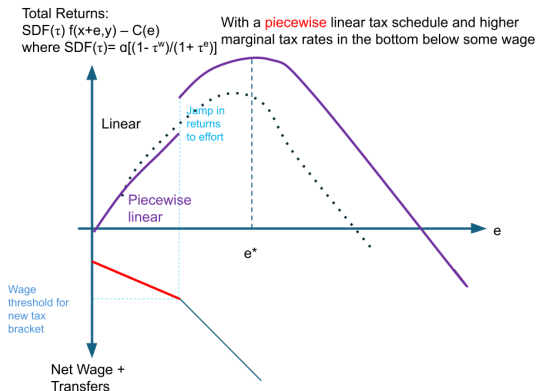
With a linear tax schedule overall



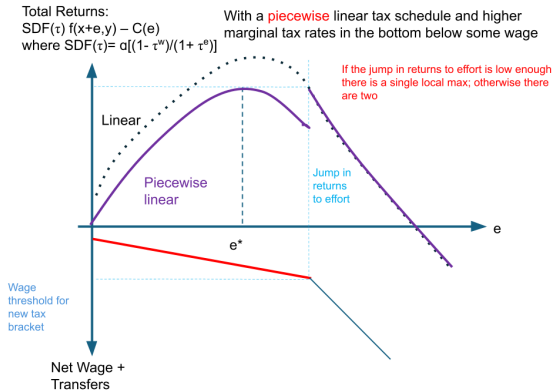
Discouragement factor in action:



Discouragement factor in action:



Discouragement factor in action:



T^e, T^w of 2010, Scenario 11

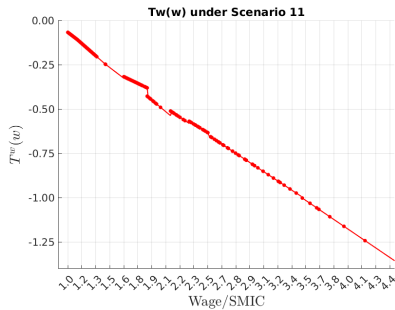
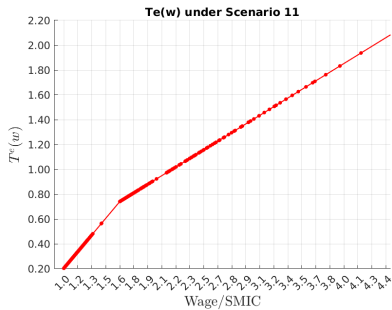


Figure: Taxes

T^e 2022, T^w 2010, Scenario 12

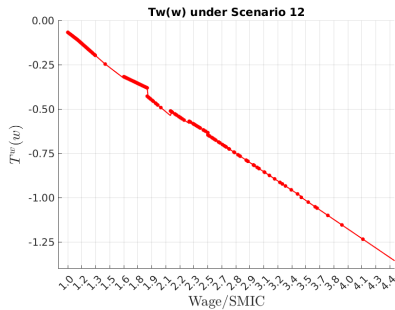
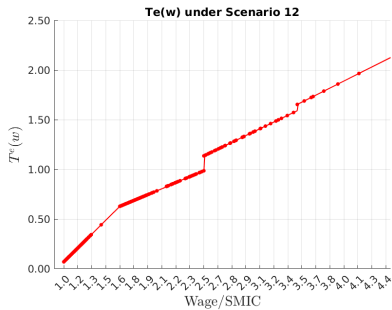


Figure: Taxes

T^e 2010, T^w 2022, Scenario 13

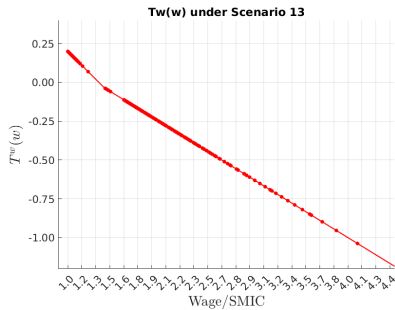
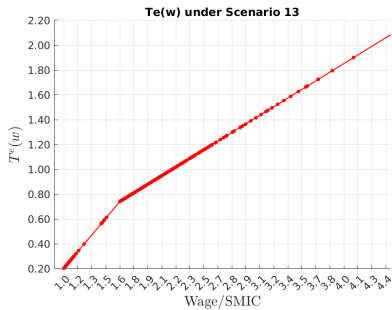


Figure: Taxes

T^e, T^w 2022, Scenario 14

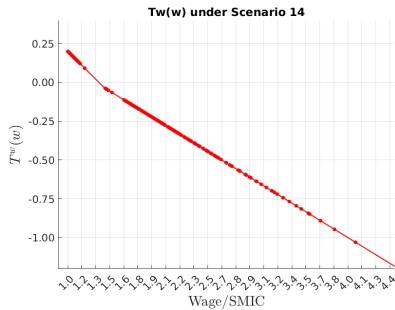
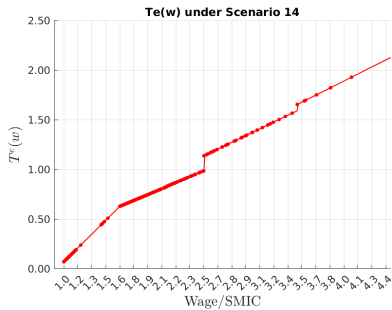


Figure: Taxes

T^e 1993-94 , T^w 2010, Scenario 15

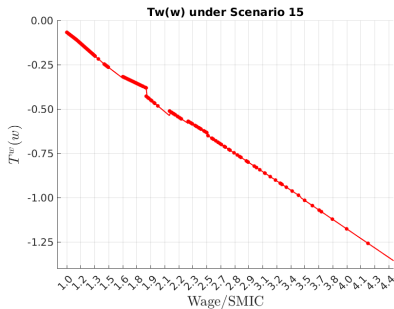
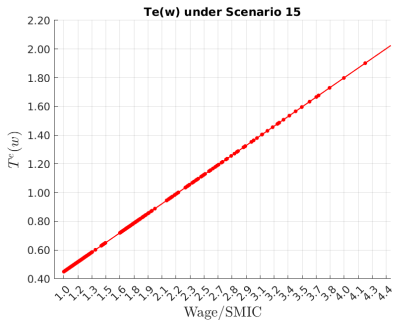


Figure: Taxes

T^e 1993-94 , T^w 1993-94, calib 2010 , Scenario 16

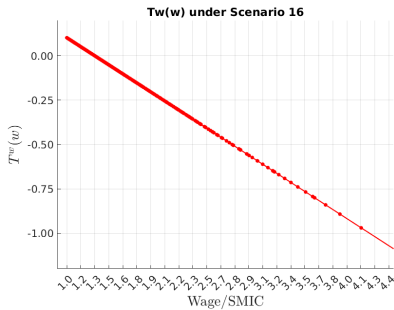
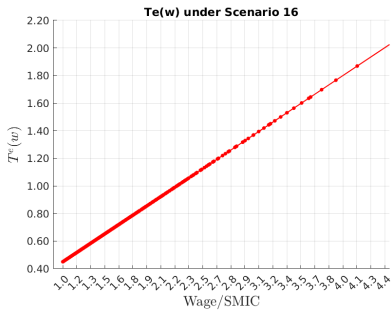


Figure: Taxes

T^e 2010 , T^w 1993-94, Scenario 17

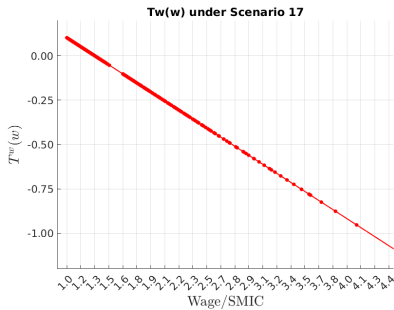
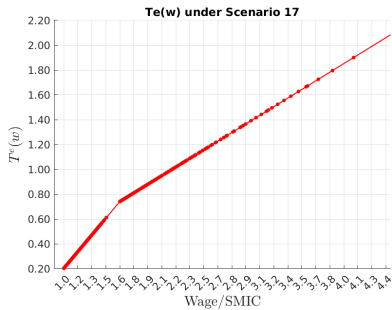


Figure: Taxes

T^e 1993 , T^w 1993, Scenario 1

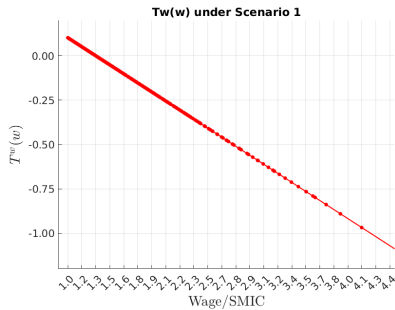
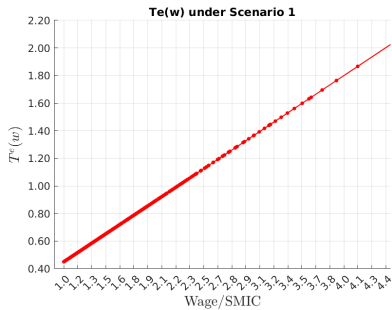


Figure: Taxes

T^e 2022 , T^w 1993, Scenario 2

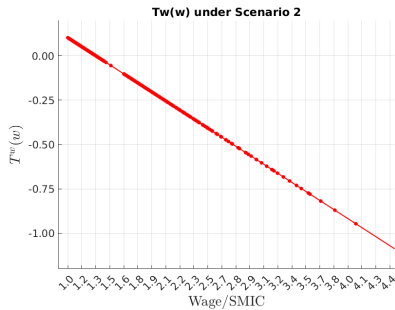
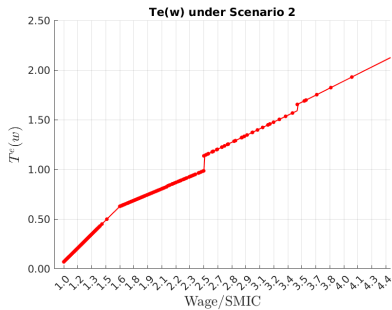


Figure: Taxes

T^e 1993 , T^w 2022, Scenario 3

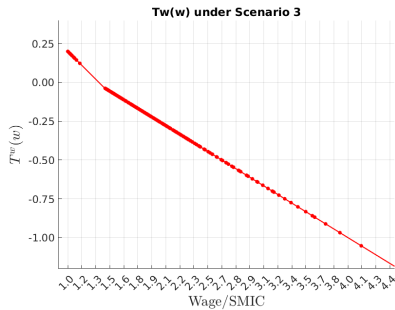
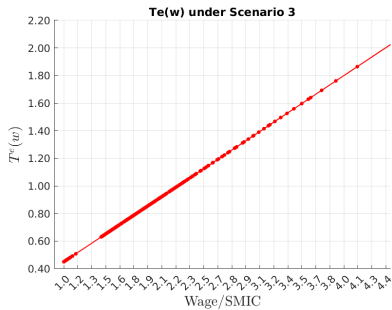


Figure: Taxes

T^e 2022 , T^w 2022, calibration 1993, Scenario 4

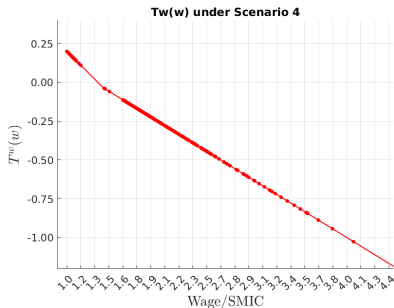
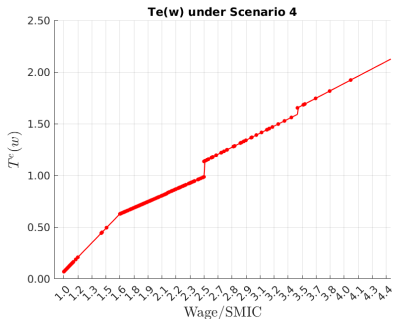


Figure: Taxes